

Multiple Choice (10 marks)

1. When a firm is earning a normal profit from the production of a good, it is true that
 - (a) total revenues from production are equal to implicit costs.
 - (b) total revenues from production are equal to explicit costs.
 - (c) explicit costs are higher than implicit costs.
 - (d) total revenues from production are equal to the sum of explicit and implicit costs.
 - (e) total revenues from production are lower than the sum of explicit and implicit costs.
2. Which of the following will shift the supply curve for textbooks to the left?
 - (a) An increase in printing costs
 - (b) Expectations of future surpluses
 - (c) A decrease in the demand for a substitute in production
 - (d) An increase in the literacy rate
 - (e) A decrease in the cost of labor for bookbinding
3. Which of the following statements is correct in regard to the federal budget deficit and the federal debt?
 - (a) The debt is the sum of all past and future deficits.
 - (b) When the debt is positive the deficit decreases.
 - (c) When the deficit is negative the debt decreases.
 - (d) The deficit is the accumulation of past debts.
 - (e) When the debt is negative the deficit decreases.
4. The profit-maximizing equilibrium for a monopolistically competitive firm leaves marginal cost below price. Explain why this is inefficient from a societal per-spective .
 - (a) Society does not get enough output.
 - (b) There is perfect competition in the market, leading to an efficient outcome.
 - (c) Monopolistically competitive firms produce at the minimum of the average cost curve.
 - (d) There is a socially efficient allocation of resources.
 - (e) The firm's profits are minimized, leading to an equitable distribution of resources.
5. Which of the following is true?

- (a) $TFC = AVC$ at all levels of output.
- (b) $AVC + AFC = TC$.
- (c) $TFC = TC$ at all levels of output.
- (d) $MC = AVC + AFC$.
- (e) $AFC = TC - AVC$.

True / False (10 marks)

Answer True or False

- 6. True or False: A progressive income tax adds an element of built-in stability to an economy by adjusting tax rates based on income levels.
- 7. True or False: Contractionary monetary policy tends to increase interest rates, leading to falling Treasury bond prices.
- 8. True or False: An increase of 100 in autonomous private investment results in a 1,000 shift to the right in aggregate demand with a marginal propensity to consume of 0.90.
- 9. True or False: Selling 29 million in government securities will cause the money supply to increase by 290 million through the money multiplier effect.
- 10. True or False: The value of the metal in each United States coin is significantly lower than its designated monetary value.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the fundamental differences between the short-run and long-run Phillips curves, focusing on their shapes, implications for inflation and unemployment, and economic policy considerations.
- 12. Discuss how changes in the required reserve ratio affect the money supply in an economy, including the mechanisms through which this impact occurs.

End of Paper